

Property Ownership and Interests in Michigan

STUDY SHEET

Classes of Property

- **Real estate** : land plus all things permanently attached to it, naturally or artificially.
- **Real property** : real estate, plus the interests, benefits, and rights included with real estate ownership.
- **Personal property** : everything that's not real property.
- **Real property ownership rights** : enjoyment, disposition, possession, control, and exclusion.

Real Property Characteristics and the Bundle of Rights

- **Economic**
- **Physical**
- **Rights**: air, water, mineral, possession, control, exclusion, enjoyment, and disposition
- **Water rights** : riparian rights (rivers and streams) and littoral rights (lakes and oceans)

Legal Descriptions

Lot and block, metes and bounds, and rectangular survey

Encumbrances

- **Easement**: right to cross over, or otherwise use, another person's land for a specified purpose; non-possessory.

Types of easements:

- Appurtenant easement
- Easement in gross
- Easement by necessity
- Easement by prescription
- **Encroachments**: structures or objects illegally built on another's land.

Liens

- **Voluntary**: (e.g., a mortgage)
- **Involuntary** : judgment, property tax lien, special assessment, etc.
- **General**: Placed against all property belonging to an individual
- **Specific**: placed against a specific piece of property

Types of Estates in Real Property: Freehold vs. Leasehold

- **Estate at sufferance** : tenant remains after the lease has terminated.
- **Estate at will**: tenancy for an unspecified period of time.
- **Periodic**: renewed after the stipulated lease period.
- **Estate for years (nonfreehold)**: may be for years, months, weeks, or even days
- **Fee on condition** : if the holder of the estate commits a certain act, or neglects to do so, ownership terminates.
- **Qualified fee**: possessor is required to do, or not do, something in order to retain ownership
- **Life estate**: possession of property is for someone's lifetime; not inheritable.
- **Fee simple**: an inheritable freehold estate.
- **Fee absolute** : most complete form of ownership and includes all of the bundle of rights in real property.
- **Possession for a limited time**: leasehold estate.
- **Ownership for an undetermined length**: freehold estate.
- **Joint tenancy requires four unities**: time, title, interest, and possession.
- **Joint tenancy**: co-ownership without inheritance rights. When one joint tenant dies, the other joint tenants receive the benefit of that share of the estate.
- **Tenancy in common**: co-ownership with inheritance rights. Owners may sell their interest without the consent of co-owners. Each has an undivided interest in the entire property.
- **Estate in severalty**: one person owns the property.

Condos, Co-ops, and Timeshares

- **Condominium**: ownership of the space between the walls of the unit and undivided shared interest in the common spaces.
- **Cooperative** : shares in the corporation plus proprietary lease.

- **Timeshare:** multiple shared ownership or multiple shared use.